

We need to talk about €STER

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Peter Chatwell
Head of Rates Strategy
Mizuho International
+44 207 090 6779
Peter.Chatwell@uk.mizuho-sc.com

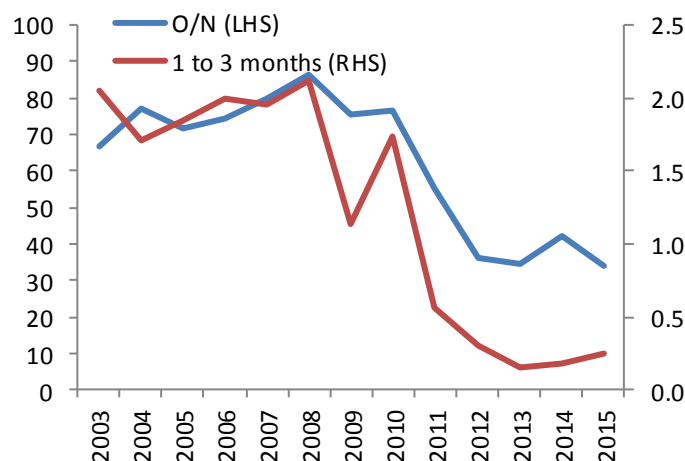
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Euro money market structural changes —background

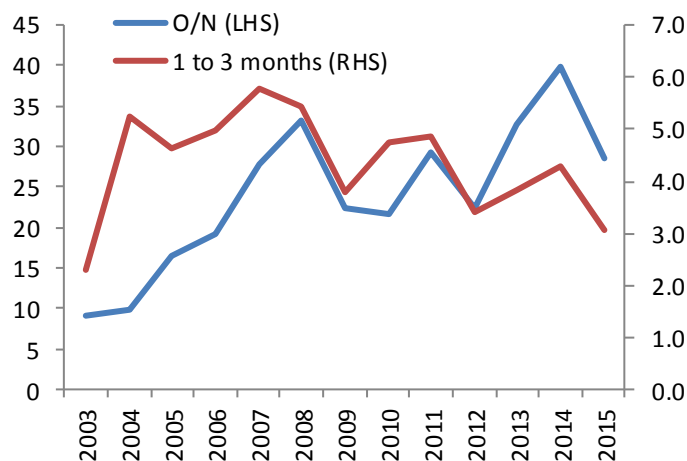
- Since the Great Recession in 2008, money markets went through structural changes
- Banks structurally changed how they funded themselves. Regulators incentivised banks to increase capital levels and to do this with safe assets, and central banks became a source of safe funding
- This led to term unsecured markets becoming much less liquid as turnover fell to such levels as to render these markets irrelevant. The area of the money markets which became more heavily used are the secured markets. Since 2003 turnover in these markets has risen significantly in short maturities
- The increase in usage of secured markets is one of the many reasons which led to problems with a scarcity of safe collateral
- ECB non-standard measures—LTROs and QE—led to further demand for collateral (EGBs and 0% RW SSAs)

EA quarterly unsecured lending turnover (index 2003=100)



Source: Mizuho International, ECB money market survey

EA quarterly secured lending turnover (index 2003=100)

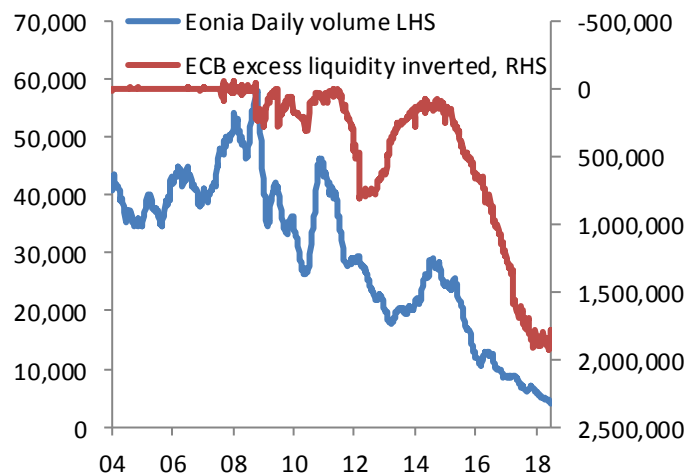


Source: Mizuho International, ECB money market survey

Euribor/Libor/EONIA rates pros and cons

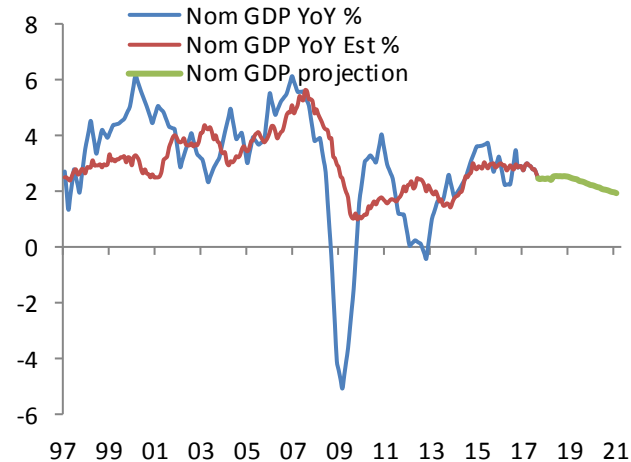
- All panel-derived BOR rates have a severe credibility deficit, due to the scandals with rate-rigging that materialised during and after the credit crunch.
- Credibility aside, having a term Euribor/Libor rate as a benchmark is useful because it captures two risks which are relevant to corporates and banks: (1) the rate is unsecured, therefore it contains some (counterparty) credit risk premium and (2) the rate contains a term premium
- EMMI is continuing to pursue this for Euribor, but Libor has effectively lost traction, due to the UK's FCA championing its replacement with a reformed SONIA
- EONIA is 28 bank panel-contributed rate, based on unsecured overnight lending transactions. At first glance, this appears to be an ideal rate to use as a benchmark BUT volumes underlying the rate have dropped significantly
- The collapse in EONIA volumes is clearly linked to the impact of ECB non-standard measures

Eonia's decline led by increased EUR liquidity



Source: Mizuho International, Bloomberg

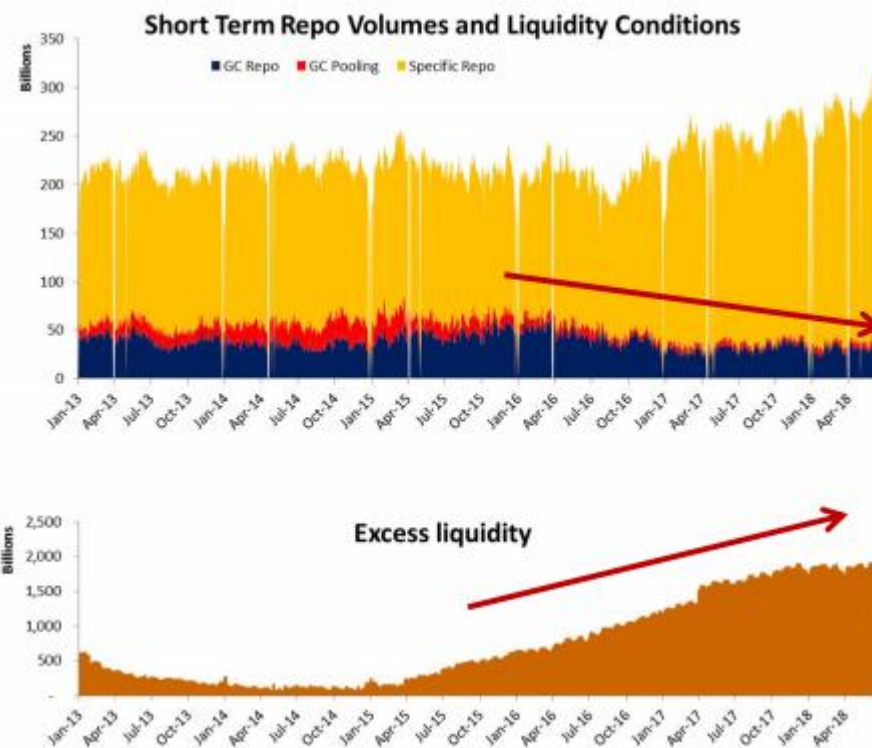
Recap—nom. GDP trend implies liquidity trap likely



Source: Mizuho International, Bloomberg

Potential replacements – Repo-based options

- Potential candidates for a replacement euro risk free rate (RFR) are:
 - €STER the ECB's preferred option—a transaction-based unsecured overnight rate
 - RepoFunds Rate—a repo-based rate produced by NEX
 - GC Pooling Deferred index—a repo-based rate produced by STOXX
- We are somewhat unimpressed by the proposal of repo rate-based benchmarks. Not only do these benchmarks not capture any term premium but they capture minimal credit risk.
- **By not capturing bank credit risk, these other rates may be unsuitable for derivatives/loans structured by banks, where the client want to cover the bank credit risk.**
- Moreover, use of repo rates in benchmarks for derivatives could lead to undesired consequences, such as:
 - A circularity between repo rates and swap spreads
 - A distortion of where “fair” repo rates are, due to the ECB's acquisition of EGBs under PSPP
- More broadly, if periods of collateral scarcity were to arise in future, then this squeeze on repo rates could disproportionately move repo rates for a period of time, irrespective of ECB rate levels and expectations



Source: European Central Bank

€STER—dramatically skewed towards “core” banks

- €STER’s methodology is based around a volume-weighted trimmed mean of eligible euro unsecured deposit transaction of over EUR1mn.
- In investigating the level of the new rate, we are doubtful that it is representative of the euro area (geographical diversity) because, as per the table below, this suggests that €STER would be based on transactions which are dramatically different from the relative sizes of the banking systems, for the main EMU countries.
- In an environment where (1) ECB liquidity is set to remain extremely high, (2) sovereign credit risks are sufficiently distinct intra EMU and, (3) there is no euro area banking union, €STER will fail to be truly geographically representative of a euro area rate.

Data underlying €STER—representative of a euro area banks?

Table 3

Representativeness and concentration at bank and country level

	Measure	Average	Highest	Lowest
Bank level	Five largest banks' share of total daily volumes	59%	74%	50%
	Six largest banks' share of total daily volumes	64%	78%	58%
Country level	Belgium's share of total daily volumes	15%	22%	5%
	Germany's share of total daily volumes	22%	33%	14%
	Spain's share of total daily volumes	5%	9%	1%
	France's share of total daily volumes	36%	55%	25%
	Italy's share of total daily volumes	1%	5%	0%
	Netherlands' share of total daily volumes	17%	32%	8%
	Others' share of total daily volumes	4%	8%	1%

Sources: MMSR data and ECB calculations.

Note: This table is based on daily MMSR data and covers the period from 1 August 2016 to 15 January 2018, capturing unsecured overnight transactions in the form of fixed-rate deposits.

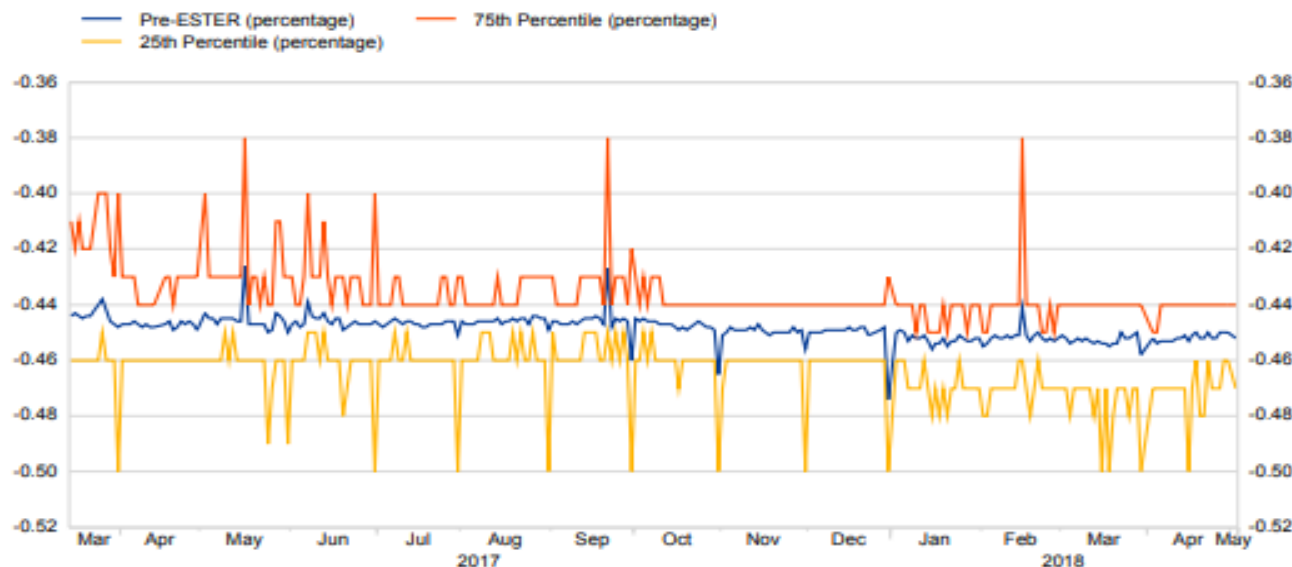
Source: Mizuho International, [ECB second public consultation on an unsecured euro o/n rate](#)

€STER-deposit spread will likely move inversely to credit spreads

- €STER's ~9bp discount to EONIA could structurally tighten/widen therefore, if the fragmentation of the euro area financial system was to reduce/increase, or indeed if ECB excess liquidity was to decline/rise. Transaction volumes underlying €STER would likely also increase/decrease, improving/harming the credibility
- This inverse sensitivity to credit risk would make €STER a sub-optimal choice of RFR for euro area banks
- The focus on a transaction-based approach is understandable, we feel, but having such a strong skew of transactions towards better rated banks is a fatal flaw in this rate
- We would expect that there is still a strong pull towards the renovation of EURIBOR to make it transaction based

Pre-€STER—steady at around EONIA minus 8-9bp (depo rate minus 5bp, currently)

Daily rate and percentiles

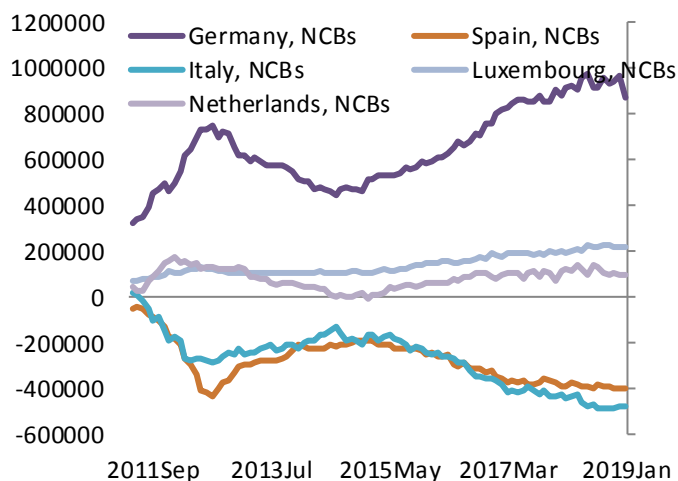


Source: ECB SDW

Unsecured markets, closed to “periphery” banks – TARGET to blame?

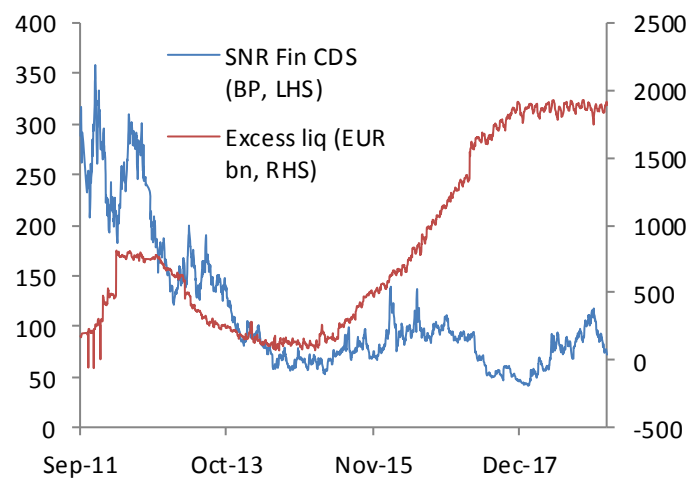
- The collapse in unsecured money market volumes has been most pronounced for banks in “peripheral” euro countries.
 - Risk aversion is a major driver, at the surface, after the crises in 2008/9 and 2011/12
- TARGET system is also a factor. These are unsecured cross-country (NCB→NCB) payments.
 - T2 payments do not price the sovereign/bank risk implicit in cross-country payments
 - As long as a periphery bank has NCB access, it can effectively borrow from a core NCB via TARGET, at no cost.
- TARGET is a fundamental piece of the construction of the eurosystem. But its operation, at high levels of excess liquidity, renders unsecured money markets dysfunctional
- €STER is unlikely to become geographically representative unless the bank→NCB link is broken

TARGET balances by NCB



Source: ECB SDW

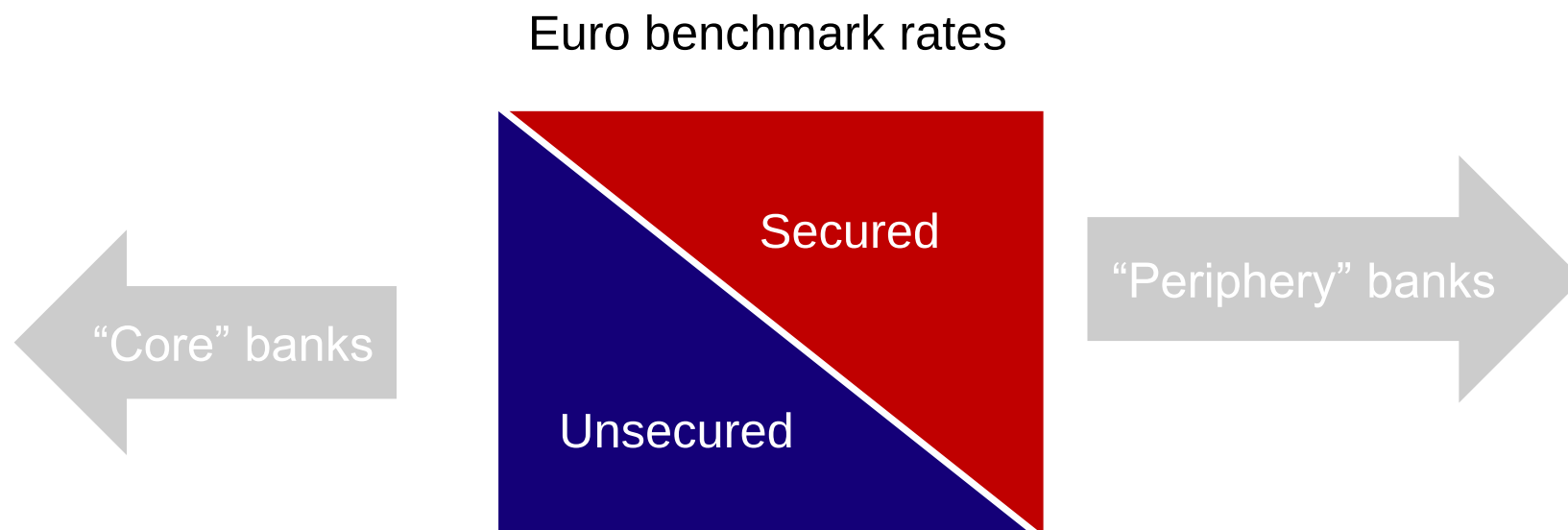
Itraxx SNR Fin CDS and ECB Excess liquidity



Source: Mizuho International, Bloomberg

Conclusion—€STER a victim of ECB's monetary policy

- The focus on a transaction-based approach is understandable, we feel, but having such a strong skew of transactions towards better rated banks is a fatal flaw to €STER, which will prevent adoption across users of euro benchmark rate products
- Spending the time to construct a theoretical rate for the geographical areas which are not fairly represented here would, we think, be necessary for €STER to be a viable RFR
- We would expect that there is still a strong pull towards the renovation of EURIBOR to make it transaction based, even if the transition is not seamless and entails some volatility in EURIBOR rates.

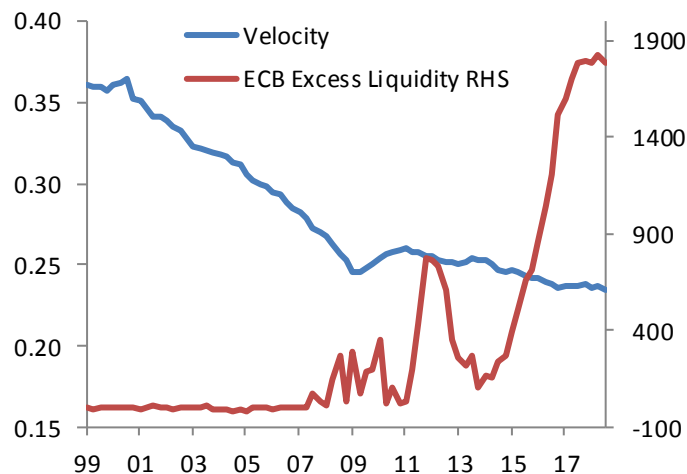


The Reversal Rate, impact on ECB expectation and € rates

The € liquidity trap is increasing

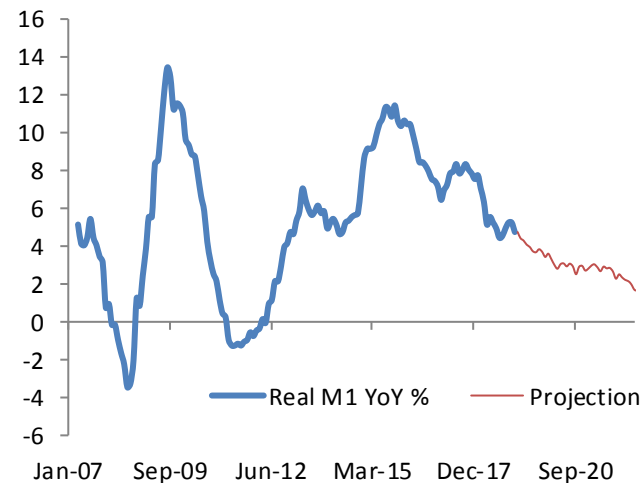
- Monetary velocity in the euro area has been on a long term declining trend. The eurozone is not alone with this problem!
- Forecasting real M1 growth is quite simple, given the ECB's forward guidance on policy rates and non-standard measures
 - We expect real M1 growth to decline to 2% YoY for Q4-20
 - This rate would tend to coincide with a euro area real GDP growth rate of 0%
- The ECB, unless it takes a dramatically different monetary policy approach, is likely to keep pushing more liquidity in to keep the economy growing!

euro area monetary velocity LT declining trend



Source: Mizuho International, Bloomberg

euro real M1 YoY projection

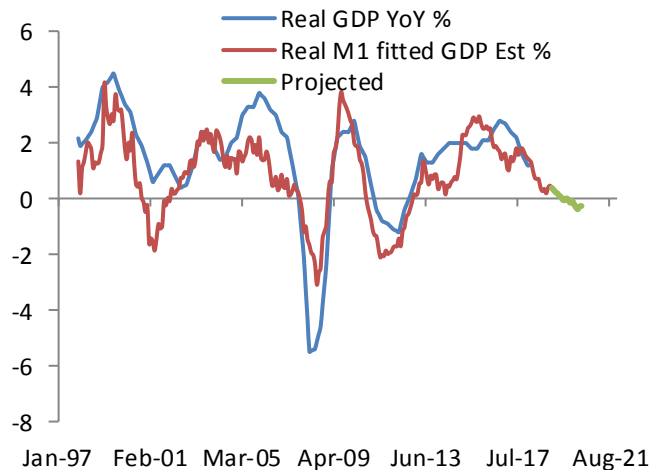


Source: Mizuho International, Bloomberg

Even taking dovish market pricing into account, exit velocity looks highly unlikely

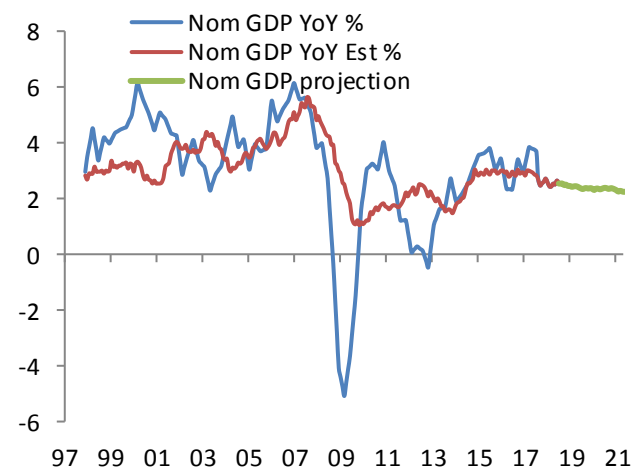
- With euro area real GDP growth set to reach 0% on the basis of the slowdown of real M1 growth, other dynamics will likely become problematic.
- We continue to expect euro area nominal growth to remain at the current uncomfortably low level from a debt-sustainability perspective.
- **If these macroeconomic outcomes were to materialise then we expect that the ECB would be forced to take a different tack from current policy tools**
- Rates cuts are extremely unlikely, given the ongoing lack of profitability European banks, and a resumption of net asset purchases at this point is probably only something that a very dovish incoming ECB president would support

euro real GDP growth—contraction in Q4-20



Source: Mizuho International, Bloomberg

Nominal GDP growth—moderating further

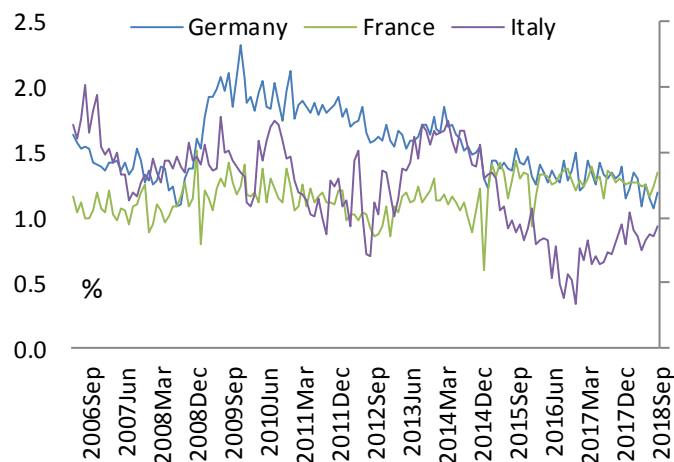


Source: Mizuho International, Bloomberg

The “Reversal Rate” and it’s potential impact on ECB policy

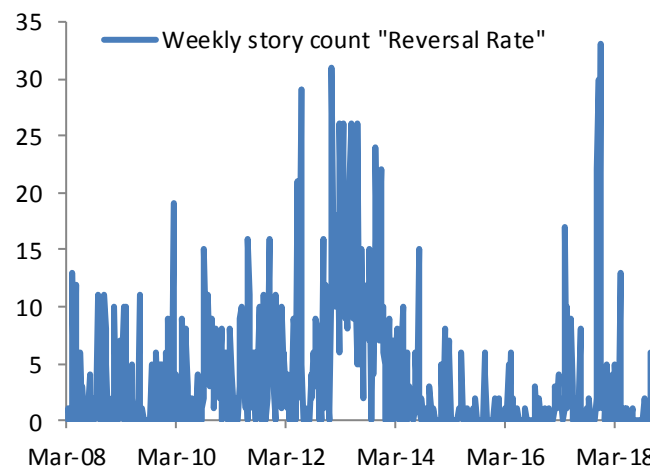
- Our monetary analysis suggests that the “reversal rate”, the point at which further monetary easing has more costs than benefits, has already been reached
- Going forward, the reversal rate is likely to rise if current levels of policy rates were expected to be maintained over a medium term horizon, as the extended forward guidance suggests.
- We thus expect the efficacy of the existing set of tools to deteriorate over time. There are two courses of action the ECB can take, we think:
 - To reduce pressure on bank NIM by performing a “technical” hike, in addition to further liquidity/quantitative support
 - Keep rates at the current level into 2021, and provide additional quantitative stimulus to compensate for the “reversal rate” making monetary transmission less effective – in other words, pushing on a string
- We would expect the ECB to keep the door open to a change of tack, in case the next President wishes to take it

Euro bank margins compressed



Source: Mizuho International, Bloomberg

“Reversal Rate” not yet getting the coverage it deserves

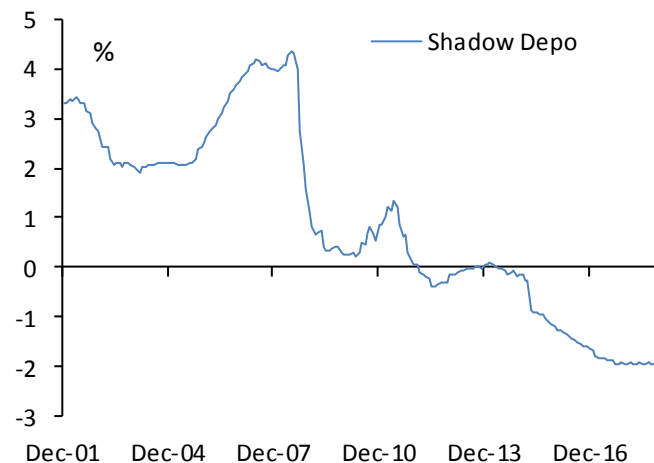


Source: Mizuho International, Bloomberg

Compensating for the deposit rate hike with further support to the bank channel

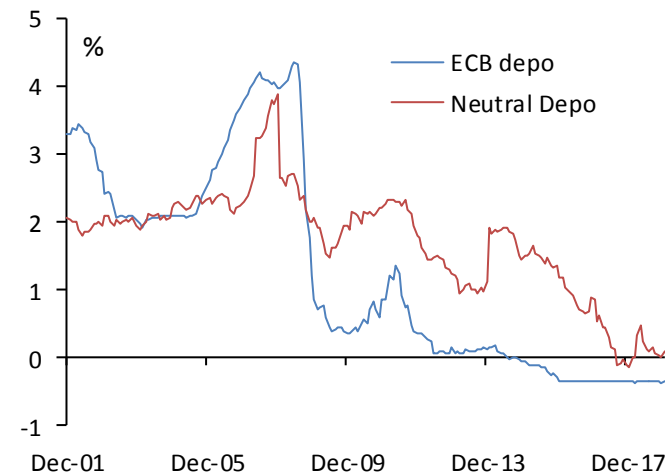
- A technical tightening of the deposit rate by 20bp would not have a material tightening impact, whilst it should help to bolster the bank transmission channel
- In the context of a euro area which continues to grow for the next year, and likely further declines in the unemployment rate, a minimal tightening of this nature may well be acceptable to the more neutral members of the GC
- All else being equal, **we estimate that compensation for a 20bp hike in the deposit rate would be achieved through:**
 - An approximate €340bn increase in ECB excess liquidity OR
 - An approximate 3Y increase in the average maturity of the PSPP portfolio
 - Or a combination of the two

Mizuho estimate of ECB shadow rate



Source: Mizuho International, Bloomberg

ECB deposit rate and Mizuho estimate of neutral



Source: Mizuho International, Bloomberg

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